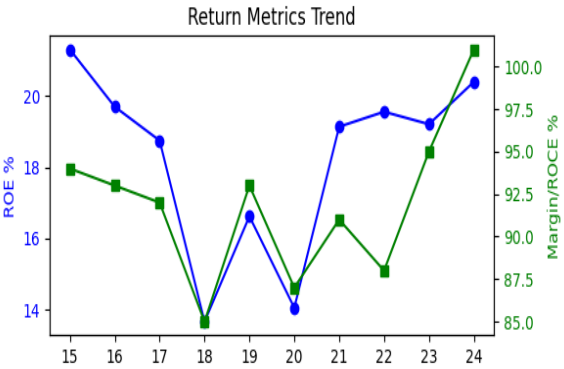
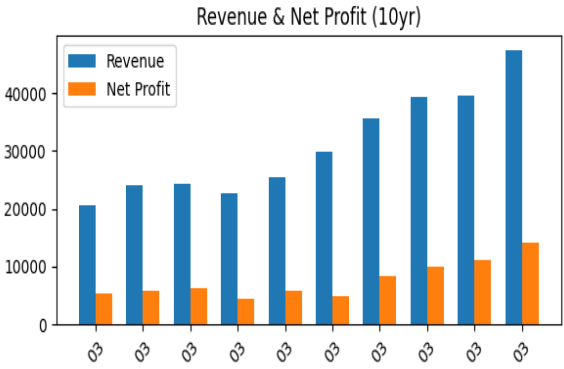
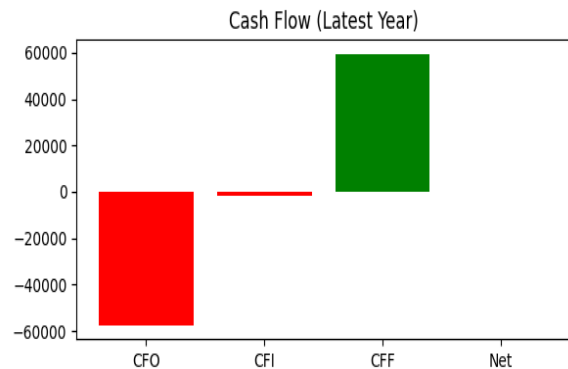
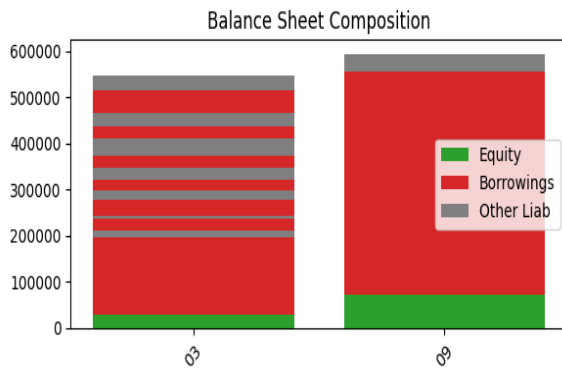


REC Ltd (RECLTD)

ROE %	20.4%	D/E Ratio	6.42
Net Profit Mgn	29.8%	FCF (Cr)	-59554
Asset Turnover	0.09	Div Payout	30.0%



REC Ltd - Financial Health & Profile



Capital Allocation Pattern: Distress Signal

Pros:

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility